

ALPHA FIRE SERVICES PLC

INTERIM FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

ALPHA FIRE SERVICES PLC

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2023

	Three Months Ended		Change	Year Ended		Change
	Jan- Mar 2023	Jan- Mar 2022	%	Apr-Mar 2023	Apr-Mar 2022	%
	Rs.	Rs.		Rs.	Rs.	
Revenue	78,898,397	79,313,795	-0.5%	290,105,586	233,880,358	24%
Cost of Sales	(50,057,811)	(67,019,719)	-25.3%	(209,833,049)	(181,406,438)	16%
Gross Profit	28,840,587	12,294,076	134.6%	80,272,537	52,473,920	53%
Other Income	-	-		795,320	-	100%
Administrative Expenses	(10,623,792)	(8,758,356)	21.3%	(30,758,603)	(26,278,200)	17%
Selling and Distribution Expenses	(7,105,967)	(2,452,463)	189.7%	(17,025,206)	(6,750,617)	152%
Profit from Operation	11,110,828	1,083,257		33,284,048	19,445,103	
Management Fee	(1,800,000)	(1,811,570)	-0.6%	(7,200,000)	(12,049,271)	-40%
Net Finance Expenses	(4,060,369)	(1,596,934)	154.3%	(10,586,203)	(5,626,545)	88%
Profit Before Taxation	5,250,459	(2,325,248)	326%	15,497,845	1,769,287	776%
Income Tax Expenses	(1,153,993)	(500,817)	130.4%	(3,203,470)	(752,451)	
Profit for the Period	4,096,466	(2,826,065)	245%	12,294,375	1,016,836	1109%
Other comprehensive income						
Other comprehensive income	-	-		-	-	
Total comprehensive income	4,096,466	(2,826,065)		12,294,375	1,016,836	
Basic Earnings Per Share	1.48	(1.02)		4.45	0.37	

ALPHA FIRE SERVICES PLC**STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2023**

	Note	31 March 2023 Rs.	31 March 2022 Rs.
ASSETS			
Non-Current Assets			
Property, Plant & Equipment		25,800,489	27,291,799
Fixed Deposit		28,221,405	27,718,677
		54,021,894	55,010,476
Current Assets			
Inventories		77,891,232	79,409,129
Trade and Other Receivables		49,211,134	27,300,232
Cash Margin Account		2,357,661	1,565,636
Cash and Cash Equivalents	01	8,451,446	6,936,499
		137,911,474	115,211,495
TOTAL ASSETS		191,933,368	170,221,971
EQUITY AND LIABILITIES			
Equity			
Stated Capital		25,569,560	25,569,560
Revaluation Reserve		1,534,467	1,534,467
Retained Earnings		20,796,023	8,501,648
		47,900,050	35,605,675
Non-Current Liabilities			
Retirement Benefits Obligation		3,553,750	3,790,250
Lease Liabilities		276,015	1,785,271
Bank Borrowings		30,646,380	18,939,549
Deferred Tax		390,386	390,386
		34,866,531	24,905,456
Current Liabilities			
Amount due to Related Parties		11,540,113	13,786,106
Short Term Bank Borrowings		29,794,588	9,539,292
Trade and Other Payables		27,983,110	59,640,775
Statutory Liabilities		14,449,247	533,285
Bank Overdrafts	01	25,399,728	26,211,381
		109,166,786	109,710,839
TOTAL EQUITY AND LIABILITIES		191,933,368	170,221,971
Number of Shares		2,760,000	2,760,000
Net Assets Value Per Share	-	17.36	12.90

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.



S. Branavan
Head of Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed on behalf of the Board of Directors.



Vijith Perera
Managing Director
16 May 2023



Malindra Fernando
Director

ALPHA FIRE SERVICES PLC**STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2023**

	Stated Capital	Revaluation Reserve	Retained Earnings	Total
Balance as at 01 April 2021	7,122,200	1,534,467	25,932,172	34,588,839
Capitalization of Reserve	18,447,360		(18,447,360)	-
Profit for the Period			1,016,836	1,016,836
Balance as at 31 March 2022	25,569,560	1,534,467	8,501,648	35,605,675
Profit for the Period	-		12,294,375	12,294,375
Balance as at 31 March 2023	25,569,560	1,534,467	20,796,023	47,900,050

ALPHA FIRE SERVICES PLC**CASH FLOW STATEMENT FOR THE YEAR ENDED 31 MARCH 2023**

	31 March 2023 Rs.	31 March 2022 Rs.
Cash Flows from Operating Activities		
Profit Before Taxation	15,497,845	1,769,287
<i>Adjustments for;</i>		
Profit on Disposal of Property Plant Equipment	(750,000)	-
Provision for Gratuity	192,250	1,057,200
Depreciation	1,849,352	2,365,140
Interest Income	(1,759,593)	(1,277,431)
Interest Expenses	204,183	4,000,135
Operating Profit Before Changes in Working Capital	15,234,037	7,914,331
Changes in Working Capital		
Inventories	1,517,897	24,952,675
Trade and Other Receivables	(21,910,902)	(7,483,900)
Amount due to Related Parties	(2,245,993)	8,319,715
Trade and Other Payables	(31,657,665)	(16,988,888)
Statutory Liabilities	10,712,493	(1,511,227)
Cash Generated from / (used in) Operations	(28,350,134)	15,202,706
Gratuity Paid	(428,750)	(87,500)
Net Cash Flow from / (used in) Operating Activities	(28,778,884)	15,115,206
Cash Flows from Investing Activities		
Sale /(Acquisition) of Property, Plant and Equipment	391,963	(466,401)
Withdrawal of Fixed Deposits	1,256,865	-
Interest Income	-	81,266
Cash Margin	(792,025)	(1,267,813)
Net Cash Flow from / (used in) Investing Activities	856,803	(1,652,948)
Cash Flows from Financing Activities		
Long Term Loan Received	25,000,000	10,000,000
Long Term Loan Paid	(13,293,169)	(10,305,785)
Short Term Loan Received / (Paid)	20,255,296	(17,319,950)
Lease Rental Paid	(1,800,599)	(2,661,103)
Loan From Related Party	-	5,000,000
Net Cash Flow from / (used in) Financing Activities	30,248,682	(15,286,838)
Net Changes in Cash and Cash Equivalents During the Year	2,326,601	(1,824,579)
Cash and Cash Equivalents at Beginning of the Year	(19,274,883)	(17,450,304)
Cash and Cash Equivalents at End of the Year	(16,948,282)	(19,274,882)
Note -01		
Cash and Cash Equivalents	8,451,446	6,936,499
Bank Overdrafts	(25,399,728)	(26,211,381)
	(16,948,282)	(19,274,882)

ALPHA FIRE SERVICES PLC**NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023****1 Basis of Preparation**

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2022 and are in compliance with LKAS 34 – Interim Financial Reporting.. The presentation and classification of comparative information have been amended where relevant.

2 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

3 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

4 Rights Issue

The Company has announced Rights Issue to the Stock Exchange on 27 March 2023, issuing 4,830,000 ordinary voting shares based on issuing Seven (07) new ordinary voting shares for every Four (04) ordinary voting shares , at a consideration of Rs. 10.53 per share to raise a total sum of up to Rs. 50,859,900 is to meet the working capital requirement and to repay the debts of the Company.

5 Capital Expenditure and Commitments

The Company has incurred Rs.358,036 for capital expenditure for the reporting period. The Company had no capital commitments as at 31 March 2023.

6 Management Fee

The Company has made a provision for Management Fee Rs.7.2 Mn payable to M/S Amtek Engineering (Pvt) Ltd, a holding company for the reporting period.

7 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		31 March 2023	31 March 2022
Amtek Engineering (Pvt) Ltd -	Office Expenses		
Common Directors	Reimbursement	1,620,000	1,620,000
Mr. Sanjay Vijith Anthony Perera	Management Fee	7,200,000	12,049,271
Mr.Malindra Christopher Fernando	Loan Received	5,000,000	5,000,000
Mr.Samud Gunasekera			
Dataone Solutions (Pvt) Ltd -	Loan Received	-	
Common Directors			5,044,105
Mr. Sanjay Vijith Anthony Perera	Loan Settled	4,907,973	-
Mr.Malindra Christopher Fernando			
Central Industries PLC - Common	Purchase	-	
Director			10,534,360
Mr. Ranil De Silva	Payment Made	-	11,263,289
Mrs.Deanna Ryde	Rent	480,000	480,000

ALPHA FIRE SERVICES PLC**NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023****8 Shareholders Information**

The issued ordinary shares of the Company is 2,760,000 and 2,083,800 are listed on Colombo Stock Exchange

	31 March 2023	31 March 2022
Number of Ordinary Shares	2,760,000	2,760,000

The shareholders of the Company as at 31 March 2023

Name	No of Shares	% Shareholding
Mr. Sanjay Vijith Anthony Perera	800,400	29.00%
Estate of Late Mr. Frank Ryde	676,200	24.50%
Mr. Malindra Christopher Fernando	576,082	20.87%
Amttek Engineering (Pvt) Ltd	429,439	15.56%
Mr. Agampodi Samud Ishara Gunasekera	277,778	10.06%
Others	101	0.00%
Total	2,760,000	100%

Directors' Shareholding as at 31 March 2023

	No of Shares
Mr. Sanjay Vijith Anthony Perera	800,400
Mr. Malindra Christopher Fernando	576,082
Mrs. Deanna Marise Ryde	Nil
Mr. Agampodi Samud Ishara Gunasekera	277,778
Mr. Kapila Liyanagamage	Nil
Mr. Ranil De Silva	Nil

Share Price

	Three Months Ended (Rs.)
Highest Price	12.20
Lowest Price	11.70
Last Traded Price	12.20

Corporate Information

The Company Registered Office

Alpha Fire Services PLC
487/5, Old Kottawa Road,
Pannipitiya,
Sri Lanka
Tel: +94 11 508 888 / 0777 747 317
Fax: +94 112 503 392
Web: <http://alphafire.lk>

Legal Form of the Company

Incorporated in Sri Lanka on May 07, 2003 and reregistered on October 16, 2007 as a Private Limited Liability Company under the provisions of Companies Act No. 7 of 2007. The legal form of the company was changed from Limited Company to Public Listed Company under provision of the section 8 of the Companies Act No. 07 of 2007 on July 04, 2022

Company Registration Number (as a Public Company)

PQ00248999

Place of Incorporation

Colombo, Sri Lanka

Company Secretaries

Ms. F. S. Ismail
168/5, Elvitigala Mawatha,
Colombo 08,
Sri Lanka
Tel: +94 11 2695009

Auditors

M/s KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03,
Sri Lanka
Tel: +94 11 5426426
Fax: +94 11 2445872

Board of Directors

Mr. Sanjay Vijith Anthony Perera	Chairman/Managing Director /Executive Non-Independent Director
Mr. Malindra Christopher Fernando	Executive Non-Independent Director
Mrs. Deanna Marise Ryde	Co-Founder/Non-Executive Non- Independent Director
Mr. Agampodi Samud Ishara Gunasekera	Executive Non-Independent Director
Mr. Kapila Liyanagamage	Independent Non-Executive Director
Mr. Ranil De Silva	Independent Non-Executive Director